

OLIGOPOLISTIC COMPETITION

Section A

Duration of each question is **40 mins**.

- 1** Some firms in oligopoly markets choose to collude rather than engage in price competition. This will lead to higher prices and a less efficient allocation of resources.

Evaluate this statement.

[20]

- 2** Oligopolies are able to avoid price competition while maintaining supernormal profits in the long run.

Evaluate this statement.

[20]

Section B

Answer **all** questions

Duration 1hr

1. According to oligopoly theory, what is **not** likely to characterise the behaviour of firms in the industry?
 - A matching any price cuts made by their rivals
 - B matching any price rises made by their rivals
 - C selling a range of similar but differentiated products
 - D the ability to earn supernormal profit

2. A cartel has been successful in regulating output. However, recently it has shown signs of breaking up.

Which feature of the market could have caused this?

 - A an agreement that the cartel produces a homogenous product
 - B an increase in the number of small, independent producers of the good
 - C stable patterns of demand for the good
 - D trademarks, acting as a barrier to entry to the market

3. What is the implication of a dominant oligopoly following a limit pricing policy?
 - A The industry will be restricted to a target number of firms.
 - B The industry will contract as rival oligopolists are eliminated.
 - C The oligopolist will achieve a satisficing level of profit.
 - D The oligopolist will sacrifice short-term profit for long-term profit.

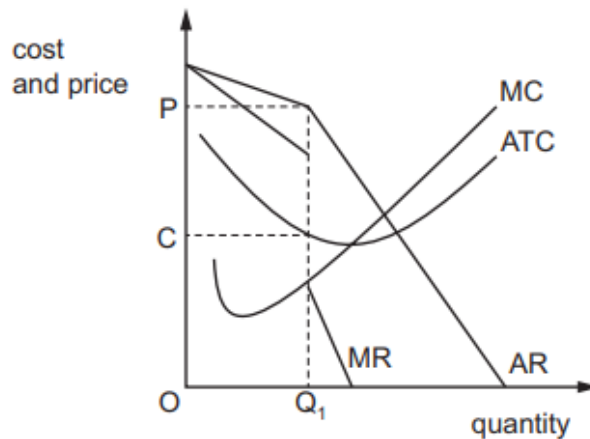
4. What makes it likely that firms will collude in setting prices for a particular product?
 - A a highly contestable market structure
 - B a small number of firms with economies of scale
 - C persistent shortages of the product being supplied
 - D the existence of patent rights possessed by firms

5. Which statement about the 'kinked demand curve' model of oligopoly is **incorrect**?
- A The kink in the demand curve of each firm is based on expectations about other firms' responses to changes in its price.
 - B The marginal revenue curve of the firm has a vertical segment at the market price.
 - C The model explains how the equilibrium market price is determined.
 - D The model suggests price stickiness within a certain range of marginal costs.
6. What is correct about cartels?
- A They are a form of trade union restrictive practice.
 - B They are a type of industrial merger.
 - C They are often subject to government investigation.
 - D They establish a vertical link between firms.
7. What makes collusion between firms in an oligopolistic industry more difficult?
- A barriers to the entry of new firms
 - B limited scope for cost reduction via innovation
 - C significant product differentiation between firms
 - D stability in the market demand for the product
8. A kinked demand curve is often used when economists attempt to analyse the way in which oligopolists operate.

What does the kinked demand curve indicate?

- A Oligopolists are unable to achieve profit maximisation.
- B Satisficing is the best objective for firms that operate under conditions of oligopoly.
- C There are always benefits available for oligopolists if they reduce price, but not if they increase it.
- D There is a tendency towards price stability when firms operate under conditions of oligopoly.

9. The diagram shows the marginal cost (MC), marginal revenue (MR), average revenue (AR) and average total cost (ATC) curves of a profit-maximising firm in an oligopolistic market.



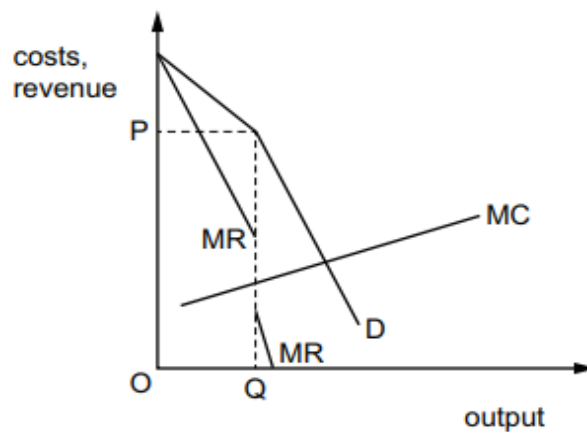
What is the reason why the oligopolist would **not** want to increase their price above P?

- A Demand is relatively elastic, meaning the firm would see a reduction in total revenue.
 - B Demand is relatively elastic, meaning the firm would see an increase in total revenue.
 - C Demand is relatively inelastic, meaning the firm would see a reduction in total revenue.
 - D Demand is relatively inelastic, meaning the firm would see an increase in total revenue.
10. There are two firms in an industry. Firm X faces a choice. It can either act independently or work with its rival. If it acts independently its profit could be \$900 a week but it could be only \$400 a week depending on what its rival does. If it works with its rival the joint profit of the two firms together would be \$1400, \$700 each. It has no knowledge of what the rival's policy will be.

Which concept describes this situation?

- A contestable market
- B kinked demand curve
- C principal agent problem
- D prisoner's dilemma

11. The diagram shows a firm's cost and revenue curves.



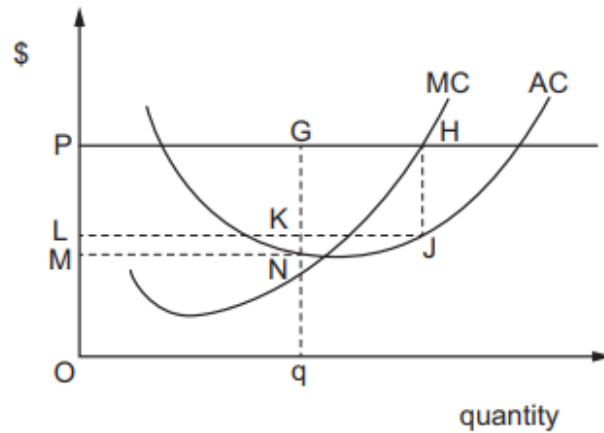
Which features are associated with the diagram?

- A** economies of scale and allocative efficiency
 - B** interdependence and allocative efficiency
 - C** price rigidity and economies of scale
 - D** price rigidity and interdependence
12. What explains the kinked demand curve model of price rigidity in oligopoly?
- A** collusion between all firms in the industry in the setting of prices
 - B** the assumption that a single firm acts as price leader for all firms in the industry
 - C** the individual firm's expectations about other firms' responses to its price changes
 - D** the presence of barriers to the entry of new firms into the industry
13. What is the defining characteristic of an oligopolistic industry?
- A** contestability
 - B** large numbers of firms
 - C** mutual interdependence
 - D** price rigidity

14. The diagram shows a firm's marginal and average cost curves.

The firm enters a collusive agreement with other firms in the industry. It is agreed that each firm will charge a common price, OP , and will restrict the level of its output to a production quota set by the industry cartel.

The firm is allocated a production quota, Oq .



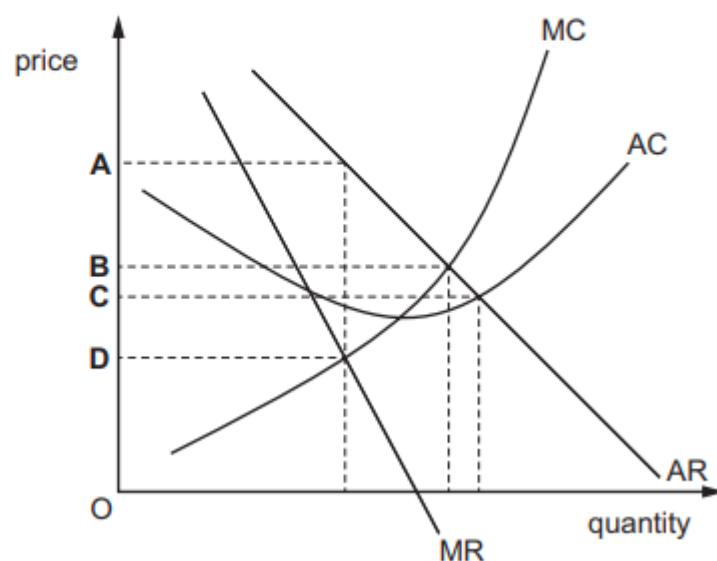
The firm decides to cheat in order to maximise its profits.

What is its short-run increase in profits?

- A PGKL
- B PHJL
- C PHJL minus PGNM
- D PGKL minus LKNM

15. The diagram shows the costs and revenues of a profit-maximising cartel.

What is the equilibrium price?



16. The dominant firm in an oligopoly sets up a research institute to carry out new product development.

Which two features of oligopoly are present in this project?

- A** creation of barriers to entry and collusion
 - B** creation of barriers to entry and non-price competition
 - C** non-price competition and price leadership
 - D** price leadership and collusion
17. When will a cartel find it most difficult to fix the market price of its product?

	proportion of firms in the industry that are members of the cartel	barriers of entry into the industry
A	high	high
B	high	low
C	low	high
D	low	low

18. What does the 'kinked demand curve' model suggest about the equilibrium price in an oligopoly market?
- A It will be stable because there is little incentive for firms to change prices.
 - B It will be stable because there is a lot of competition.
 - C It will change frequently because there is a lot of competition.
 - D It will change frequently because price is determined by demand and supply.
19. Firms in a market decide to collude over the price that they charge for their products. What is **not** likely to be a feature of the market?
- A Firms have similar cost structures.
 - B Products of the firms are close substitutes.
 - C There are high barriers to entry into the market.
 - D There is a large number of competing firms.
20. What is a condition for operating a successful cartel?
- A a large number of firms in the industry
 - B having a differentiated product
 - C low barriers of entry to the industry
 - D strictly enforced production quotas
21. Which change would make it easier for a cartel to operate effectively?
- A an increase in competition from closely related industries
 - B an increase in the number of firms in the industry
 - C an increase in the range of products made by cartel members
 - D an increase in the stability of the market for its products

22. Which combination of reactions by rivals results in a kinked demand curve for an oligopolist when a price is changed?

- A** copying both a price rise and a price fall
- B** copying a price rise and ignoring a price fall
- C** ignoring a price rise and copying a price fall
- D** ignoring both a price rise and a price fall

23. Oligopoly firms seek to maximise profits.

How will this affect the pricing behaviour of oligopoly firms involved in a non-collusive market?

- A** A price is fixed for the product that never changes throughout its life cycle.
- B** Firms will agree on the level of advertising costs for a new product.
- C** If one firm raises its price, other firms will maintain their original price to increase their market share.
- D** If one firm lowers its price, other firms will increase their price.

**OLIGOPOLISTIC
COMPETITION
(MARKING SCHEME)**

Question	Answer	Marks
1	Some firms in oligopoly markets choose to collude rather than engage in price competition. This will lead to higher prices and a less efficient allocation of resources. Evaluate this statement. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 14 marks. AO3 out of 6 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • The key characteristics of an oligopoly market should be described. • Collusion should be explained and compared to the alternative of price competition. • Some explanation of what is meant by an efficient allocation of resources. • Analysis of the links between collusion, higher prices and allocative efficiency should be provided. • Analysis of alternative price and non-price competitive approaches by oligopolistic firms should be discussed. • A large, dominant organization might have less incentive to operate efficiently and X inefficiencies might occur.	20

Question	Answer	Marks
1	AO3 Evaluation • Colluding oligopolistic firms might argue that an increase in size will lead to more opportunities to provide a wide range of goods and therefore more consumer choice. • It is possible that collusion will lead to an increase in dynamic efficiency and this increase would allow long term more investment and ultimately lower prices. A supporting diagram can be provided. • Such a decision will enable the firms to benefit from economies of scale. For example, reducing managerial inefficiencies. This could also lead to lower prices. • Any potential negative effects of collusion can be accounted for by government intervention and regulation after the collusion has taken place. • A conclusion should refer to the preceding analysis and then make some attempt to make a judgement whether, on balance, collusion will have a net negative effect on prices and/or efficiency. Accept all valid responses.	
	AO1 Knowledge and understanding and AO2 Analysis	14
	AO3 Evaluation	6

Question	Answer	Marks
2	Oligopolies are able to avoid price competition while maintaining supernormal profits in the long run. Evaluate this statement. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 14 marks. AO3 out of 6 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis ● Key characteristics of an Oligopoly market structure. ● Explanation of the kinked demand curve and price rigidity. ● Recognition that Game theory might predict stable prices through Nash equilibrium. ● Analysis of how barriers to entry might enable abnormal profits to be maintained in the long run. ● Analysis of how collusion might enable abnormal profits to be maintained in long run. ● Analysis of use of limit pricing to maintain abnormal profits in long run. ● Alternatives such as non-price competition might be used to maintain profits in long run	20

Question	Answer	Marks
2	AO3 Evaluation ● Collusion to establish common prices is often illegal and also in some circumstances, difficult to maintain. ● It might be difficult to maintain barriers to entry if a government introduces legislation to promote more contestable markets. ● The extended use of limit pricing might have a significant negative impact on profitability in the short run which might reduce investment and dynamic efficiency in the long run. ● The use of non-price competition based on advertising and/or product differentiation might be costly and significantly reduce profits. ● Some Oligopolies might prefer to adopt a break-even pricing policy in the long run to increase market share, rather than maximizing profits ● A conclusion should be attempted which uses the preceding discussion to evaluate the statement under consideration Accept all valid responses.	
	AO1 Knowledge and understanding and AO2 Analysis	14
	AO3 Evaluation	6

OLIGOPOLISTIC COMPETITION

A LEVEL

ECONOMICS P3

1.	B	7.	C	13.	C	19.	D
2.	B	8.	D	14.	C	20.	D
3.	D	9.	A	15.	A	21.	D
4.	B	10.	D	16.	B	22.	C
5.	C	11.	D	17.	D	23.	C
6.	C	12.	C	18.	A		